

Banking Fundamentals

Educational reference for the BankFlow RAG knowledge base.

Core Concepts

An account represents a financial relationship between a customer and a bank.

A deposit increases the customer's claim on the bank; a withdrawal decreases it subject to available funds and limits.

A transfer moves value between accounts. Internal transfers remain within one bank; inter-bank transfers cross bank boundaries.

A transaction is a recorded financial operation with an identifier, amount, status, timestamps, parties and audit information.

Common Banking Services

Account opening and closure, balance inquiry, deposits, withdrawals, electronic transfers, beneficiary management, statements, payment tracking, notifications, fixed deposits and customer support.

Account Types

Savings accounts are generally designed for personal deposits and withdrawals.

Current accounts are commonly designed for frequent business transactions and may have different fee and balance rules.

Fixed deposits lock funds for a defined tenure under product-specific terms.

Key Terms

Available balance: amount currently available for permitted use.

Ledger balance: accounting balance represented by posted financial entries.

Beneficiary: saved destination account/person.

Settlement: finalization of obligations between institutions.

Reconciliation: comparison of independent records to identify discrepancies.

Reversal: compensating financial operation used to undo a prior financial effect.

Digital Banking Principles

Authentication verifies identity; authorization determines permitted actions.

Sensitive financial operations require stronger controls than ordinary reads.

Money movement should be traceable through financial and audit records.

A timeout does not necessarily mean failure; a distributed payment may require status inquiry or reconciliation.